

PAKISTAN AML TRANSACTION RISK SCORING — ASSESSMENT RULES & REGULATORY AUTHORITY						
Frameworks: FATF Recommendations FMU Reporting Obligations PVARA 2022 PMLA 2010 ATA 1997 SBP KYC Regulations						
#	Category	Risk Indicator / Assessment Rule	Points	Regulatory Authority / Provision	Compliance Action Required	Risk Weight
1	Transaction Characteristics	Amount exceeds PKR 2.5 million cash threshold	20	FMU CTR Regulations 2018; PMLA 2010 S.7; SBP AML/CFT Circular 2018	File Currency Transaction Report (CTR) with FMU within 24 hours	Critical
2		Structuring / smurfing — multiple sub-threshold transactions	15	FATF Rec. 10; PMLA 2010 S.7; AML/CFT Regulations Sch. II Para 4	File STR; escalate to Compliance Officer; document pattern	High
3		Cash transaction — no digital trail / audit record	12	SBP BSD Circular 2019; FATF Guidance on Cash Transactions 2020	Enhanced documentation; source-of-funds verification	High
4		Round-number or atypical denomination transaction	10	FATF Guidance on Indicators 2020; FMU Red Flag Typologies Report	Flag for manual review; obtain business justification	Medium
5		Transaction velocity unusually high (frequency spike)	8	FMU Red Flag Indicators; SBP Risk-Based Supervision Framework 2021	Activate enhanced monitoring; review last 90 days history	Medium
6		Cross-border remittance via FATF grey-list corridor (UAE, Turkey, Afghanistan, Iran)	15	FATF Rec. 10; FMU Advisory 2023 on High-Risk Jurisdictions; PMLA 2010 S.6	EDD on counterparty; verify correspondent bank compliance	High
7		Use of third-party payer or payee (no direct relationship)	10	PMLA 2010 S.6; FATF Rec. 10 — Customer Due Diligence	Obtain written authorisation; verify beneficial ownership	Medium
8		Multiple accounts simultaneously receiving same funds (layering)	8	FATF Typologies — Layering Phase; FMU Typologies Report 2022	Map account network; consider STR if pattern sustained	Medium
9	Customer / Entity Risk	Politically Exposed Person (PEP) — domestic or foreign	25	FATF Rec. 12; PMLA 2010 S.3; SBP BPRD Circular 2021 — PEP Definition	Senior management approval; EDD; source of wealth declaration	Critical
10		UN Security Council / OFAC / EU sanctions list match	20	ATA 1997 S.11EEE; UN Charter Art. 25; SBP Sanctions Screening Directive	Immediate freeze; report to NACTA; file STR with FMU within 24 hrs	Critical
11		Adverse media coverage / prior STR previously filed on customer	15	FMU Reporting Requirements; PMLA 2010 S.7(3); FATF Rec. 20	Escalate to Compliance Officer; consider de-risking	High
12		Newly opened account (less than 90 days old)	10	SBP KYC Regulations 2016; FATF Rec. 10 — CDD on New Relationships	Verify KYC completeness; heightened monitoring for 6 months	Medium
13		Income / net worth inconsistent with transaction volume	8	FATF Rec. 10 — CDD; PMLA 2010 S.7A; SBP Risk Profiling Guidelines	Request income proof; update customer risk profile	Medium
14		Non-face-to-face / fully remote onboarding	6	SBP BPRD Circular 2021 — Digital Onboarding; FATF Rec. 10	Biometric verification; enhanced identity check	Low-Medium
15		Real estate sector transaction (DNFBP — Designated Non-Financial Business)	20	FATF Rec. 22; SECP AML Regulations 2021; PMLA 2010 S.7	Verify property valuation; source of funds; beneficial ownership	Critical

16	Sector / Geographic Risk	Virtual asset / cryptocurrency transaction (PVARA-regulated)	18	PVARA Act 2022; FATF Rec. 15 — Virtual Assets; SBP Crypto Circular 2022	PVARA compliance portal reporting; wallet KYC; travel rule compliance	Critical
17		Jewelry, precious metals or precious stones (DNFBP threshold PKR 1M+)	15	FATF Rec. 22; DNFBP AML/CFT Regulations 2018; PMLA 2010	Record dealer identity; file CTR/STR if threshold met	High
18		Hundi / hawala informal value transfer	12	FATF SR.VI; SBP BSD Circular — Exchange Companies; PMLA 2010 S.6	STR mandatory; verify SBP registration; report to SBP Exchange Policy Dept	High
19		Transaction originating from FATA / PATA / border district	10	NACTA National Threat Assessment; FMU Regional Risk Indicators; ATA 1997	Heightened CDD; verify purpose; flag for TF screening	Medium
20		Charity, NPO or NGO sector (terrorism financing channel risk)	8	FATF Rec. 8 — Non-Profit Organisations; AML/CFT Regs 2018 Sch. III	Verify SECP/registrar status; beneficiary transparency; EDD	Medium
21		Shell company, nominee directors or complex ownership chain	6	FATF Rec. 24 — Transparency of Legal Persons; SECP Companies Act 2017	Obtain UBO declaration; verify via SECP register	Low-Medium
22		Behavioral Red Flags	Customer refuses or is reluctant to provide KYC documentation	15	PMLA 2010 S.7A; FATF Rec. 10; SBP KYC Regulations 2016	Decline transaction; consider SAR; document refusal
23	Inconsistent or frequently changing business explanation		12	FMU Red Flag Indicators; FATF Guidance on STR Filing 2019	Document all explanations; escalate if inconsistency persists	High
24	Unusual urgency, secrecy or pressure on staff		10	FMU Reporting Guidelines; PMLA 2010; FATF Typologies 2020	Slow-process transaction; senior review; internal alert	Medium
25	Customer demonstrates unusual knowledge of CTR/STR reporting thresholds		8	FATF Structuring Indicator; FMU Red Flag Bulletin 2023	Treat as structuring indicator; document; review linked accounts	Medium
26	Transaction purpose inconsistent with customer's stated business		6	PMLA 2010 S.7; SBP KYC Regulations; FATF Rec. 10	Obtain written explanation; update customer profile	Low-Medium
27	Frequent changes in address, contact details or account signatories		5	FMU Red Flag — Identity Risk; SBP KYC Regulations 2016	Re-verify identity; refresh CDD documentation	Low
MAXIMUM POSSIBLE SCORE (sum of all risk indicators)			327	Score out of 200 pts max (system-calibrated ceiling)		

RISK BAND CLASSIFICATION MATRIX

Score Range	Risk Band	Regulatory Threshold
0 – 29	LOW RISK	Below CTR threshold; no red flag combination
30 – 59	MEDIUM RISK	Multiple risk factors; EDD warranted
60 – 89	HIGH RISK	STR filing threshold met under PMLA 2010
90 – 200	CRITICAL / TF RISK	Immediate freeze; possible terrorism financing

X — PAKISTAN AML SCORING ENGINE

Mandatory Compliance Action	Applicable Regulation
1. Standard Customer Due Diligence (CDD) 2. File CTR if cash ≥ PKR 2.5M 3. Retain records 5 years (PMLA S.13)	FATF Rec. 10; PMLA 2010; SBP KYC Regs 2016
1. Enhanced Due Diligence (EDD) 2. Source of funds documentation 3. Senior management review 4. Continuous transaction monitoring	FATF Rec. 10/11; PMLA 2010 S.7A; SBP BPRD 2021
1. File STR with FMU within 7 days 2. Tipping-off prohibition applies (PMLA S.7B) 3. Preserve all records 4. Internal escalation to MLRO	PMLA 2010 S.7(3); FATF Rec. 20; FMU Guidelines
1. FREEZE transaction immediately 2. File STR with FMU within 24 hours 3. Notify NACTA if TF suspected 4. PVARA report if virtual asset 5. No disclosure to customer	ATA 1997 S.11EEE; PMLA 2010 S.6; PVARA 2022; FATF Rec. 20

REGULATORY FRAMEWORK INDEX — PAKISTAN AM

Regulation / Framework	Full Name	Issuing Authority
PMLA 2010	Prevention of Money Laundering Act 2010	Parliament of Pakistan / MOFA
ATA 1997	Anti-Terrorism Act 1997 (as amended)	Parliament of Pakistan
FATF Rec. 10	FATF Recommendation 10 — Customer Due Diligence	Financial Action Task Force (FATF)
FATF Rec. 12	FATF Recommendation 12 — Politically Exposed Persons	Financial Action Task Force (FATF)
FATF Rec. 15	FATF Recommendation 15 — Virtual Assets	Financial Action Task Force (FATF)
FATF Rec. 20	FATF Recommendation 20 — Reporting of Suspicious Transactions	Financial Action Task Force (FATF)
FATF Rec. 22	FATF Recommendation 22 — DNFBPs: CDD	Financial Action Task Force (FATF)
FATF SR.VI	FATF Special Recommendation VI — Alternative Remittance	Financial Action Task Force (FATF)
FMU CTR Regs 2018	AML/CFT Regulations 2018 — Currency Transaction Reporting	Financial Monitoring Unit (FMU), Pakistan
FMU STR Guidelines	FMU Suspicious Transaction Report Guidelines	Financial Monitoring Unit (FMU), Pakistan
PVARA 2022	Pakistan Virtual Assets Regulatory Authority Act 2022	PVARA / Securities & Exchange Commission
SBP KYC Regs 2016	State Bank of Pakistan KYC / CDD Regulations 2016	State Bank of Pakistan (SBP)
SBP BPRD 2021	SBP Banking Policy & Regulations Department Circular 2021	State Bank of Pakistan (SBP)

SECP AMLA 2021	SECP AML/CFT Regulations 2021	Securities & Exchange Commission of Pakistan
AML/CFT Regs 2018	Anti-Money Laundering & Countering Financing of Terrorism Regulations 2018	Ministry of Finance / FMU
NACTA Guidelines	National Counter Terrorism Authority Threat Assessment	NACTA, Pakistan

L/CFT REGIME
Key AML Obligation
Primary AML statute: CDD (S.7), record keeping (S.13), STR (S.7(3)), tipping-off prohibition (S.7B), freeze orders (S.6)
Terrorism financing offence; Schedule IV sanctions list; NACTA reporting; S.11EEE freeze powers
CDD on all customers; enhanced CDD for high-risk; PEP screening; beneficial ownership
Senior management approval for PEPs; enhanced CDD; source of wealth; ongoing monitoring
Virtual asset service providers (VASPs) subject to full AML/CFT; PVARA licensing in Pakistan
STR filing obligation; no tipping off; safe harbour for good-faith reporters
Real estate, lawyers, accountants, jewelers, casinos subject to full CDD requirements
Hawala / hundi operators must register; apply same AML rules as banks
CTR mandatory for cash ≥ PKR 2.5 million; 24-hour filing deadline; goAML system reporting
STR filing via goAML; 7-day deadline; MLRO responsibility; no tipping-off
Licensing of VASPs; crypto AML/KYC; travel rule for virtual asset transfers; STR to PVARA portal
Customer identification; CNIC verification; risk profiling; ongoing monitoring for banks / MFBs
Digital onboarding standards; remote KYC; biometric verification; PEP definition for Pakistan

DNFBPs (real estate, lawyers); company beneficial ownership; SECP-registered entity AML obligations

Comprehensive secondary legislation under PMLA 2010; risk-based approach; NPO oversight (Sch. III)

High-risk geographic areas; FATA/PATA risk designation; TF typologies for financial institutions